

Business Canvas Project — Assignment 1.3

CED Task 2 (continued): PESTEL Analysis — The Forces Outside Your Market

Due: _____ **Team size:** Same individual / team as Assignment 1A (up to 3) **Submission:** Completed Business Canvas **Market** section (PESTEL analysis) + this worksheet

This is the **second checkpoint** of your Business Canvas Project. In Assignment 1A you looked **inside** the market — your competitors and your plan to beat them. But competitors are not the only thing that decides whether a business survives. Forces **outside** the market — government policy, the economy, culture, technology, the environment, and the law — can make a market appear, grow, or disappear overnight (remember the principal's memo that ended the hallway market).

In this assignment, you apply the **PESTEL framework** to the **same business idea** you chose in Assignment 1A and judge how attractive — and how risky — your market really is.

Review first: 1.3 PESTEL Factors - Vocab • 1.3 PESTEL Factors - Slides

CED Task covered: - Task 2 (continued): "Apply the PESTEL framework to evaluate the attractiveness and potential risks of a market." (LO 1.3.C • Skill 3.A)

Deliverables

Canvas Section	What You Submit	AP Topic	CED Task
Market	Full PESTEL analysis + viability verdict	1.3	Task 2 (continued)

Before You Start: The Framework

PESTEL = the six kinds of **outside forces** that shape the business landscape (EK 1.3.A.1):

Letter	Factor	What it covers (EK 1.3.A.2–1.3.A.7)
P	Political	Trade policy, taxes, subsidies, mandates, bans, political stability
E	Economic	Economic stability, household income, inflation, unemployment, interest rates
S	Social	Demographics, cultural norms, lifestyle trends, population growth
T	Technological	Internet access, automation of production, pace of innovation

Letter	Factor	What it covers (EK 1.3.A.2–1.3.A.7)
E	Environmental	Geography, access to resources, waste rules, consumer environmental attitudes
L	Legal	Employment, consumer protection, health & safety, environmental rules, IP, antitrust

These forces decide which businesses are **viable** — able to **survive and stay successful in a market over time**.

Three rules from this week's lesson:

1. **Classify by the source of the force** — not by what it costs or what subject it touches. A solar-panel subsidy concerns the environment and technology, but the force acting on the market is a government policy choice → **political**.
2. **Political vs. legal:** a broad policy choice (tax, ban, subsidy) is **political**; a specific codified rule to comply with (license, safety code) is **legal**.
3. **The six factors are never equally important.** Identify the ones relevant to your product and weigh those — "all six matter equally" is always a weak analysis.

Strong-answer method (use it all through this worksheet): Name the factor → state its direction (helps or hurts) → tie it to YOUR specific business.

SECTION 1: PESTEL INVENTORY — Your Market, Factor by Factor

AP Topic 1.3 • LO 1.3.A • EK 1.3.A.1–1.3.A.7 • LO 1.3.B • EK 1.3.B.1–1.3.B.6

Apply PESTEL to the **same business idea from Assignment 1A**. Every row must contain a **specific, factual force** — not "the economy is good" or "technology is important." Find evidence: a news item, a government website, a price you have seen, a statistic, or something an interviewee told you. Note where the evidence came from.

Factor (EK)	One specific force or fact in YOUR market + your evidence/source	Opportunity or Risk?	Effect on YOUR business's viability (name → direction → tie to your business)
P — Political (A.2)		O / R	
E — Economic (A.3)		O / R	
S — Social (A.4)		O / R	

Factor (EK)	One specific force or fact in YOUR market + your evidence/source	Opportunity or Risk?	Effect on YOUR business's viability (name → direction → tie to your business)
T — Technological (A.5)		O / R	
E — Environmental (A.6)		O / R	
L — Legal (A.7)		O / R	

Requirements: across the six rows, identify **at least two opportunities and two risks**. If you genuinely cannot find a force for one factor (rare), write not currently relevant — because... and explain, using EK 1.3.C.1.

Self-check:

- ☐ All **6 factors** are filled with **specific, evidenced** forces, not textbook definitions — EK 1.3.A.1
- ☐ I have classified each by its **source**, not its subject matter — Skill 3.A
- ☐ I have **at least 2 opportunities and 2 risks**
- ☐ Each row states the factor's **direction and effect on viability**, not just a fact — EK 1.3.B.1–1.3.B.6
- ☐ I did not confuse a **political policy choice** with a **legal rule to comply with**

SECTION 2: CLASSIFICATION DRILL — Classify by Source

LO 1.3.A • Exam skill practice: identify the factor from a scenario

For each development, write the PESTEL factor and the **source of the force** that justifies your classification. Watch the traps — the "obvious" subject is sometimes wrong.

#	Development	Factor (P/E/S/T/E/L)	What is the SOURCE of the force? (one sentence)
1	The government offers large subsidies to any business that installs rooftop solar panels.		
2	A new city regulation requires every prepared-food vendor to hold a food-safety license and pass a kitchen inspection.		

#	Development	Factor (P/E/S/T/E/L)	What is the SOURCE of the force? (one sentence)
3	Average household income in the city has fallen for two straight years and unemployment has risen.		
4	Gen Z buyers increasingly want products they can unbox on video and collect (blind-box culture).		
5	A rural county gets high-speed fiber internet for the first time.		
6	A drought drives up fruit prices for every drink shop in the region.		

Trap check — answer in one sentence each:

#1: Why is the solar subsidy **not** an environmental (or technological) factor?

#4: Why is the blind-box trend **social**, even though the products are sold through apps and technology?

#2: Why is the licensing rule **legal**, when a government ban on food sales would be **political**?

Self-check:

- ☐ I classified every item by its **source**, matching the master rule from the lesson
- ☐ I can distinguish a **subsidy (political)** from a **license law (legal)**
- ☐ I can distinguish the **condition of the economy (economic)** from a **change in what people value (social)**

SECTION 3: VIABILITY VERDICT — How Attractive Is Your Market?

AP Topic 1.3 • LO 1.3.C • EK 1.3.C.1, 1.3.C.2

Filling in the table is not enough — now you **make the call**, exactly like the Tesla and SHEIN board decisions you practiced in class.

3A. Rank the factors that decide your fate

The six factors are **not** equally important for your business. Name the **three that matter most**, most important first, and explain why each outweighs the others.

1. _____ — because:

2. _____ — because:

3. _____ — because:

3B. Attractiveness and risk

Where factors ALIGN with my model (EK 1.3.C.2): Which forces fit my business model, resources, production process, and target customers? (Be specific — the way a tech firm seeks cheap internet and a farm-to-table restaurant seeks customers who value local food.)

My single biggest PESTEL RISK (EK 1.3.C.1): _____

How I would manage that risk:

Connection to Assignment 1A: Does your competitive strategy (differentiation / cost leadership / niche) still fit what PESTEL reveals? Does any outside force threaten the barriers to entry you were counting on? Explain.

3C. The verdict

Overall, my market is **attractive** / **attractive with known risks** / **not attractive** for this business, because... (2–3 sentences. Use the strong-answer method: name the factor → state its direction → tie it to YOUR business.)

Self-check:

- ☐ I **ranked** the factors rather than treating all six as equal — EK 1.3.C.1
- ☐ I assessed **both attractiveness and risks**, specific to my own product — EK 1.3.C.1
- ☐ I judged whether factors **align with my model, resources, and customers** — EK 1.3.C.2
- ☐ I connected the analysis back to my **competitive strategy from 1A**

SECTION 4: WHEN FACTORS CHANGE

LO 1.3.B • EK 1.3.B.8 • LO 1.3.C • EK 1.3.C.3

PESTEL factors **move** — and one changed factor can rewrite an existing market overnight (the "double reduction" policy destroyed the for-profit tutoring industry in 2021; the heat wave in 1.2 created the cold-drink market).

Choose the **one factor most likely to change in the next 2–3 years** for your market, and think it through.

The factor that will move: _____

What the change would look like:

Then trace the change through the **three channels** from EK 1.3.C.3:

Channel	What would change for YOUR business?
1. Customers — their needs, wants, or ability to buy	
2. Production & distribution — systems you depend on	
3. Resources — access to inputs you need	

Leading indicator: What is one specific signal you would watch to know this change is coming (e.g., a proposed rule, a price trend, a demographic statistic)?

My planned response: If that signal appears, I will...

Stretch (EK 1.3.B.7–1.3.B.8): If this change happened, which **jobs** in your market would grow — and which would disappear?

Self-check:

- ☐ I picked a **specific plausible change**, not a generic one
- ☐ I traced it through **all three channels** — customers, production/distribution, resources — EK 1.3.C.3
- ☐ I identified a **leading indicator** and a **response**, showing the analysis informs a decision — Skill 3.A

Grading Rubric

Section	Excellent (A)	Good (B)	Developing (C)	Needs Work (D/F)
1 — PESTEL inventory (1.3)	All 6 factors with specific, evidenced forces; direction and viability effect tied to the student's own business; 2+ opportunities and 2+ risks; sources cited	All 6 filled, mostly specific, most viability effects explained	Some generic or missing factors; little evidence; weak tie to the business	Incomplete or textbook-copy responses
2 — Classification drill (1.3)	All 6 correct, source-based reasoning; trap questions answered using the master rule	Most correct with reasonable reasoning	Several errors or answers without reasoning	Mostly incorrect or blank

Section	Excellent (A)	Good (B)	Developing (C)	Needs Work (D/F)
3 — Viability verdict (1.3)	Factors clearly ranked; attractiveness AND biggest risk assessed; alignment with model/ resources/ customers; strategy from 1A revisited; decisive evidence-based verdict	Verdict given with some ranking and connection to 1A	Lists factors but no real judgment; generic verdict	No verdict or unsupported conclusion
4 — When factors change (1.3)	Specific plausible change traced through all 3 channels; concrete leading indicator + response	Change described, 2 channels addressed, some response plan	Vague change or one channel only	Not addressed

Important Notes

1. **Same business idea.** Use the exact customer problem, market, and competitors from Assignment 1A. PESTEL analyzes the environment around that idea — do not switch businesses.
2. **Evidence beats assertion.** "Inflation is high" is weak; "local ingredient prices rose ~15% this year (source:), **which raises my cost per unit by** " is strong. You may use secondary sources (news, government data, trade reports) and primary evidence (your 1A interviews, observations).
3. **This is a required canvas deliverable.** Your PESTEL analysis becomes the **Market — PESTEL analysis** element of your final Business Canvas (Project Rubric Row E). You will **revise and improve it at the end of Unit 1** after the remaining topics, so this is your documented first draft.
4. **Teams:** all members contribute; one submission per team. This is not a business plan and you do not need to launch — you need to **demonstrate the knowledge and skills of Topic 1.3**.
5. **AP Exam connection:** the exam gives you a scenario and asks (1) which factor moved and (2) what it did to viability. Sections 2 and 4 of this worksheet rehearse exactly that move, and FRQ 1 may ask you to discuss a challenge to the viability of **your own** business — your biggest-risk answer in 3B is ready-made material.